

**Before the
Federal Maritime Commission**

Docket No. 24-20

**International Express Trucking, Inc.
v.
COSCO Shipping Lines Co., Ltd**

VERIFIED ANSWER

Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO”) ¹ hereby answers the Complaint of Complainant International Express Trucking, Inc. (“Complainant” or “IXT”) and states as follows:

I. COMPLAINANT

1. Complainant IXT is a corporation organized and existing under the laws of the State of Kansas with a principal place of business at 3359 Brinkerhoff, Kansas City, Kansas 66115.

ANSWER: Respondent lacks information sufficient to admit or deny the allegations of Paragraph 1.

II. RESPONDENTS

2. Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”) is a corporation organized under the laws of China. COSCO’s corporate headquarters is located at No. 378, Dong Da Ming Road, Shanghai, China. COSCO is an ocean common carrier conducting business in the United

¹ Because COSCO Shipping Lines (North America) Inc. has been dismissed from the proceeding, references herein to Respondent or COSCO mean only COSCO Shipping Lines Co., Ltd.

States though Respondent COSCO Shipping Lines (North America) Inc. (“COSCO America”). COSCO America’s principal place of business is located at 100 Lighting Way, 3rd Floor, Secaucus, New Jersey 07094. COSCO was at all times pertinent to this complaint an ocean common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

ANSWER: Respondent admits the allegations of Paragraph 2 except that Respondent denies that COSCO Shipping Lines (North America) Inc. is a Respondent in this proceeding and denies that Respondent “conducts business through” COSCO Shipping Lines (North America) Inc.

III. JURISDICTION

3. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984, as amended.

ANSWER: Respondent denies the allegations of Paragraph 3, at least to the extent that the equipment at issue was moved by Complainant pursuant to merchant haulage.

4. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. IXT is seeking reparations for injuries caused to it by Respondents due to their violations of 46 U.S.C. § 41102(c).

ANSWER: Respondent admits the first sentence of Paragraph 4. As to the second sentence, Respondent denies that it violated 46 U.S.C. § 41102(c) and denies that Complainant suffered any injuries.

5. The FMC has personal jurisdiction over COSCO as a “common carrier” as defined in 46

U.S.C. § 40102(7).

ANSWER: Respondent admits that the FMC has personal jurisdiction over COSCO in this matter.

6. Respondent's actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§545.4 and 545.5.

ANSWER: Respondent denies the allegations of Paragraph 6.

IV. FACTUAL ALLEGATIONS

7. IXT is a motor carrier registered with the Federal Motor Carrier Safety Administration, that provides motor carrier transportation services.

ANSWER: Respondent lacks sufficient information to admit or deny the allegations of Paragraph 7.

8. Between 2022 and 2023 COSCO issued invoices to IXT for per diem charges amounting to \$75,725.00. See Exhibit A.

ANSWER: Respondent denies that it issued all the invoices shown in Complainant's Exhibit A to IXT for detention of COSCO's equipment past free time in 2022 and 2023. The bills of lading listed in Exhibit A are not associated with IXT; nor do the amounts shown reflect COSCO's records.

9. The invoices reflected in Exhibit A did not contain all of the following information:

(1) Date that container is made available; (2) The port of discharge; (3) The container number

or numbers; (4) For exported shipments, the earliest return date; (5) The allowed free time in days; (6) The start date of free time; The end date of free time; (7) the applicable detention or demurrage rule on which the daily rate is based; (8) The applicable rate or rates per the applicable rule; (9) The total amount due; (10) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees; (11) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage; (12) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

ANSWER: Respondent denies the allegations of Paragraph 9.

10. The invoices reflected in Exhibit A were also issued in situations involving: (1) lack of chassis availability, (2) unavailable return appointments; and/or (3) congestion.

ANSWER: Respondent denies the allegations of Paragraph 10.

11. COSCO Invoice # HOU00069003 includes charges for containers which could not be returned due to weather conditions. COSCO agreed to waive charges related to the weather conditions in an email dated June 23, 2022. However, COSCO has never waived the charges in this invoice.

ANSWER: Respondent admits that Complainant asserted in an email dated March 31, 2022 that, due to weather conditions, IXT could not return four containers (COSCO's empty equipment) listed on Invoice HOU0069003 issued on March 16, 2022. Respondent also admits that on April 6, 2022, Complainant contacted Respondent to request that charges for an additional container be cancelled, also citing weather conditions.

Respondent further admits that on June 23, 2022 it advised IXT of the waiver of the charges relating to two containers due to weather as there were poor road conditions. Otherwise, denied.

12. The invoices listed in Exhibit A have been the topic of numerous communications between IXT and COSCO. Notwithstanding IXT's numerous complaints relating to each invoice raising the above discussed issues, COSCO has refused to waive the charges. COSCO has further threatened to discontinue service for IXT.

ANSWER: Respondent admits only that Complainant has contacted Respondent via email with respect to numerous invoices. Otherwise denied.

V. VIOLATIONS OF THE SHIPPING ACT

13. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier or marine terminal operator from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

ANSWER: Respondent refers to 46 U.S.C. § 41102(c) as the best evidence of what it provides.

14. Respondent COSCO is an ocean common carrier as defined by the Shipping Act.

ANSWER: COSCO admits the allegation of Paragraph 14.

15. Respondents' practices and regulations relating to the assessment of per diem charges are

directly related to receiving, handling, storing, or delivering property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.

ANSWER: Paragraph 15 constitutes a legal conclusion, as to which no response is required. To the extent that a response may be required, Respondent denies the allegations of Paragraph 15.

16. Respondent has failed to establish and observe just and reasonable practices in violation of § 41102(c) by failing to issue invoices which do not comply with OSRA 2022's requirements; for charging per diem which were caused by conditions beyond complainant's control; for refusing to waive these charges; and for threatening to discontinue service on the basis of the unpaid per diem charges.

ANSWER: Paragraph 16 constitutes a legal conclusion, as to which no response is required. To the extent that a response may be required, Respondent denies the allegations of Paragraph 16.

17. Respondent failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing detention charges that serve no incentivizing principle and do not promote freight fluidity.

ANSWER: Paragraph 17 constitutes a legal conclusion, as to which no response is required. To the extent that a response may be required, Respondent denies the allegations of Paragraph 17.

18. Respondent failed to establish and observe just and reasonable practices in violation of §

41102(c) by refusing to extend free time and/or waive or reduce per dem charges for containers, which were rejected for return by the designated termination location.

ANSWER: Paragraph 18 constitutes a legal conclusion, as to which no response is required. To the extent that a response may be required, Respondent denies the allegations of Paragraph 18.

VI. CAUSATION AND INJURY TO COMPLAINANT

19. As a result of Respondents' violations of the Shipping Act, the Complainant has sustained injuries and damages in the amount of \$75,725.00.

ANSWER: Respondent denies the allegations of Paragraph 19.

VII. ALTERNATIVE DISPUTE RESOLUTION

20. IXT has made numerous unsuccessful attempts to resolve this matter with COSCO prior to filing this Verified Complaint. IXT has been in direct communication with COSCO since 2022 and has communicated with COSCO through counsel for several months. IXT send a demand letter to COSCO relating to these in February 2024. COSCO has persisted in its refusal to waive the per diem charges which are the subject of this Complaint. Because COSCO has failed to respond to these requests, IXT did not seek to use the FMC's alternative dispute resolution procedures prior to filing this Verified Complaint. For the same reasons, Complainant has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution (ADR) under the FMC's ADR program, 46 C.F.R. § 502.64.

ANSWER: COSCO lacks information sufficient to admit or deny the allegations of

Paragraph 20.

VIII. PLACE OF HEARING

21. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573- 0001.

ANSWER: Respondent agrees that a hearing, complete with cross-examination, is appropriate in this proceeding.

AFFIRMATIVE DEFENSES

1. The Commission lacks subject matter jurisdiction over the Complaint, at least as far as the shipments at issue moved pursuant to merchant haulage.
2. The FMC lacks authority to adjudicate this matter, as it would violate the Seventh Amendment.
3. The FMC lacks authority to adjudicate this matter, as it would violate the Judiciary Act of 1789.
4. The Presiding Officer lacks authority to adjudicate this matter.
5. Complainant has failed to allege essential elements of a claim under 46 U.S.C. 41102(c),
6. Complainant waived all its claims due to its failure to use the procedures required by the FMC and maintained by COSCO for addressing disputes about detention, demurrage, and per diem charges.
7. Because COSCO maintained procedures for disputing detention, demurrage, and per diem charges and Complainant willfully declined to use them, OOCL's actions are per se reasonable.
8. Any harm experienced by Complainant was because of its own failures or inaction.
9. Complainant has failed to state a claim for which relief can be granted, including for reasons of vagueness.

10. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which, if any, are denied.
11. Complainant failed to take reasonable steps to mitigate its damages.
12. Complainant's claims are barred by the statute of limitations.

Dated: March 20, 2025

Respectfully submitted,

By: /s/ Rebecca A. Fenneman

Rebecca A. Fenneman
Counsel for Respondent
COSCO Shipping Lines Co. Ltd.

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VERIFICATION

I declare under penalty of perjury that the foregoing Answer is true and correct.

For COSCO SHIPPING Lines (North America) Inc. on behalf of COSCO
SHIPPING Lines Co., Ltd.:

By: _____

Date: March 20, 2025

Name: Christine Smith

Title: Assistant General Manager/Equipment Department

Address: 15600 John F. Kennedy Blvd. Suite 400

Houston, Texas 77032

Email: csmith@cosco-usa.com

CERTIFICATE OF SERVICE

I certify that on the 20th day of March, 2025, a true and correct copy of the foregoing **VERIFIED ANSWER** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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